



ILLUSTRATION BY **RAJ VERMA**

flutter. So far, so good. But here comes the test.

For the first time in two years, the colour of the market is changing. It no longer appears to be the 'buy every dip' trend newbie investors have gotten used to. A fundamental reset is under way, and while local investors have shown nerves of steel so far, more challenging days lie ahead. For while the Covid-19 sell-off was brutal, it was very short-lived. A real bear market, the likes of which the new-to-the-market have not seen yet, is a test not just of courage but also patience. Not only a sharp 20 per cent crash and then off to the races again. Once portfolio drawdowns linger into months, even quarters, conviction begins to get shaken. It feels worse if competing

asset classes shine in comparison.

This last point is important, as it is the absence of lucrative investment options that got local investors interested in equity to begin with. Low interest rates, poor returns from gold and a lacklustre real estate market had played no small part in driving return-seeking investors to the stock market. After all, these three asset classes still account for 80 per cent of all Indian household assets, with equity just about nudging 5 per cent. Now, as fixed deposit rates begin to climb again, the real estate market recovers from a decade-long slump and gold feeds on global risk aversion to edge higher, could this 80 per cent begin to look relatively safer again? Old habits die hard, after all.

This is the risk that the Indian stock market faces. Global risk aversion may remain elevated through the rest of this year. Against such a backdrop, what if some part of the \$38 billion that has been invested through domestic mutual funds since March last year, is withdrawn? It may be a double whammy too difficult for the market to bear. Why, even a pause in domestic inflows may be enough for the FII selling to inflict deeper cuts on stock prices.

This, then, is the bear market test for Indian retail investors, who may have thought that they would escape it. No one can. This waxing and waning is the very nature of the market, though the reasons keep changing each time. In India, we are prone to painting everything as 'structural', till they turn 'cyclical'.

It will be engaging to observe how retail investors handle this challenge, for it could be a key inflection point in Indian investment behaviour—one which finally paves the way for a durable transition to financial assets, like in more developed economies. It is vital therefore that, however painful this ongoing bear market turns out to be, that retail takes it in its stride. Learn from it, be tempered and humbled by it, just not scarred enough to abandon the asset class, as past generations may have done after the Great Financial Crisis or the Harshad Mehta scam. That would be a colossal mistake. These are the days that make men of boys. For nothing can be sole or whole, that has not been rent, as the poet said. **BT**